CASCADIA ANALYTICS

INVESTMENT SCORECARD

MSFT

Microsoft Corporation (NASDAQ)

As-of: 2026-10-18 | Latest Filing: 10-K FY2026 | Currency: USD

$529.05 [Mkt 18-Oct-26]

Market Cap: $3.93T [Mkt 18-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 85

Best-in-class software economics: 67.9% gross margin, 50.9% EBIT margin, 40.3% net margin in FY2026. Operating cash flow of $182.9B funds the build-out internally; the $35.9B net debt is immaterial against a $3.93T market cap.

2. Recent Trend — 82

Revenue compounded from $211.9B (FY23) to $331.8B (FY26), a 16.1% CAGR with no deceleration (FY26 +17.8%). EBIT margin expanded 6.2pp YoY to 50.9%. Azure remains the engine with AI-workload contribution rising.

3. Forward Growth — 75

Base case 12% 5-year CAGR assumes Azure sustains high-20s growth while Productivity/Windows grows low-single-digits. Copilot ARPU expansion and commercial bookings provide multi-year visibility. Regulatory power constraints favor incumbents with capital.

4. Valuation — 35

DCF base $390 vs $529.05 spot implies 26% downside. The market prices in a 19.7% 5-year revenue CAGR per the reverse DCF, above even the 16% Bull case. Forward P/E 22.3x and EV/Revenue 11.9x embed high expectations.

5. Catalysts & Risk — 65

Near-term catalysts: Q1 FY27 print, Azure growth trajectory, any capex normalization signal. Key risks: sustained 35% capex intensity crushing FCF margins, AWS/Google pricing pressure,

regulatory scrutiny, and a multiple with no room for disappointment.

Investment Thesis

- **The capex moat is structural:** Power constraints on new data centers favor incumbents with capital. Microsoft funds its own power supply, locking tier-two competitors out of frontier AI training.
- **Overvalued but high quality:** Our DCF gives Bear $303.54 / Base $390.00 / Bull $480.37, blended $390.98, 26% below the $529.05 spot. The market prices in a 19.7% five-year revenue CAGR, above our 16% Bull case.
- **Hold, Valuation Concerns:** We rate Microsoft HOLD. The assumptions are reasonable, but the price demands more than our 12% base CAGR can deliver. A pullback toward $390 would make it constructive.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Price (18-Oct-26)	$529.05	+51% [Mkt 18-Oct-26]	Up
FY2026 revenue	$331.8B	+17.8% [10-K FY2026]	Up
FY2026 EBIT margin	50.9%	+6.2pp [10-K FY2026]	Up
FY2026 capex intensity	34.9%	+12.0pp [10-K FY2026]	Up
Beta (5Y)	1.099	n/a	Stable
DCF base target	$390	-26% vs spot [DCF 18-Oct-26]	n/a

Historical Financial Trend

Metric	FY23	FY24	FY25	FY26
Revenue ($B)	211.9 [10-K FY2026]	245.1 [10-K FY2026]	281.7 [10-K FY2026]	331.8 [10-K FY2026]
EBIT margin	43.1% [10-K FY2026]	45.2% [10-K FY2026]	44.7% [10-K FY2026]	50.9% [10-K FY2026]
Capex % of revenue	13.3% [10-K FY2026]	18.1% [10-K FY2026]	22.9% [10-K FY2026]	34.9% [10-K FY2026]
FCF margin	28.1% [10-K FY2026]	30.2% [10-K FY2026]	25.4% [10-K FY2026]	20.2% [10-K FY2026]

Valuation

Absolute (4/10)

P/E (fwd) 22.3x [Mkt 18-Oct-26]
DCF Base $390.00 [DCF 18-Oct-26]
PEG 1.72 [Mkt 18-Oct-26]
EV/Revenue 11.9x [Mkt 18-Oct-26]

DCF implies 26% downside at $529.05. Forward earnings price high growth at a reasonable PEG; the multiple is full relative to the 19.7% implied revenue CAGR.

Versus Peers (6/8)

AWS (AMZN) and Google Cloud (GOOGL) are the only peers that can match the AI capex cycle [Research note]
MSFT forward P/E 22.3x is at the low end of mega-cap software

The compute scarcity premium favors the three hyperscalers equally; differentiation comes from enterprise distribution, where Microsoft leads.

Versus History (5/7)

EV/Revenue 11.9x [Mkt 18-Oct-26]
In line with historical mega-cap software premiums

Multiple reflects Azure hypergrowth expectations; any deceleration would compress it toward the 8-9x mature range.

Catalyst Timeline

Late-Oct-26 [Earnings calendar]
Q1 FY2027 print: Azure growth rate, AI-workload contribution to Azure, and commercial bookings are the read-through metrics for the capex cycle.

Top Risk Factors (Item 1A)

1. Capex intensity persists: FY2026 capex was $115.9B (34.9% of revenue), up from 22.9% in FY2025. If this intensity persists, free cash flow margins stay in the low 20s and the DCF base target falls further. The model assumes

2027-Q2 [Company guidance]
Capacity ramp: whether the next wave of AI data center capacity converts to Azure revenue growth above 30% without further capex intensity creep.

Ongoing [10-K FY2026]
Capital allocation: shareholder returns (dividends/buybacks) vs the AI build-out. Any capex normalization signal would re-rate the FCF engine materially.

What Would Change Our Score

Azure growth decelerating below 25% or capex intensity persisting above 25% of revenue would cut the FCF engine and our targets. Sustained 30%+ Azure growth with capex normalizing toward 15% of revenue would support a rerating toward the $480 Bull case.

normalization to 14%; that is a forecast judgment, not a filing fact. [10-K FY2026]

2. Power constraints cut both ways: Data center power constraints are currently an advantage, but they can also slow Microsoft's own capacity additions and raise costs. AWS and Google can match the capital spend, keeping cloud pricing competitive and capping Azure's pricing power. [Research note]

3. Perfection is priced in: At $529.05, the stock embeds a 19.7% 5-year revenue CAGR per the reverse DCF, above the 16% Bull case. Any Azure deceleration or margin slip would force a painful multiple compression from EV/Revenue 11.9x. [Mkt 18-Oct-26]

Forward Growth Drivers

- Power constraints on new data centers favor incumbents with capital. Microsoft funds its own primary power (nuclear PPAs, utility upgrades), locking tier-two competitors out of frontier AI training. [Research note]
- FY2026 revenue of $331.8B grew 17.8% with Azure as the primary driver. Copilot integration across Office 365 and Dynamics expands ARPU and monetizes the infrastructure spend downstream. Enterprise lock-in makes this revenue base exceptionally durable. [10-K FY2026]
- FY2026 gross margin 67.9%, EBIT margin 50.9% ($169.0B), net margin 40.3%. These are best-in-class software economics that fund the AI build-out from operating cash flow ($182.9B in FY2026) without straining the balance sheet. [10-K FY2026]
- $20.9B cash against $56.8B total debt (net debt $35.9B) on a $3.93T market cap is effectively unlevered. The balance sheet funds multi-gigawatt energy infrastructure that competitors cannot match. [10-K FY2026]

Missing / Modified Data Log

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